The value and wages of blue-collar work

WORK & VALUE | Why is the value of work supporting society often poorly reflected in pay?

Blue-collar work

Jobs centered on on-site tasks such as manufacturing, construction, transportation and maintenance. They involve skills, experience, responsibility for safety and physical burdens. Some occupations require qualifications and advanced expertise.

White-collar work

Jobs centered on information or interpersonal tasks, such as sales, administration, planning and management. They require judgment, specialist knowledge and coordination. Responsibilities and burdens vary by occupation and role.

Socially necessary work does not always pay highly

Pay depends on more than a job’s importance. Scarcity of workers, company earnings, ability to pass costs into prices and workers’ bargaining power also matter.

Are burdens and responsibilities reflected in prices?

Even with harsh working conditions and major responsibilities, suppressed contract prices and labor costs make wage increases difficult. A job’s social value and what companies can pay in wages do not necessarily match.

Compare more than occupational images: examine actual skills, responsibilities and burdens in relation to compensation.
Considering education, skills and educational investment.

Separate education, ability and value

EDUCATION & FAIRNESS | Educational background is one piece of information. How should actual work connect to pay?

Education alone determines neither ability nor contribution

Educational background offers clues to learning history and expertise. Yet on-site skills, problem-solving ability and contributions to safety and quality cannot be measured by education alone.

Pay for expertise differs from evaluation based only on education

There are reasons to pay highly for advanced expertise, major responsibilities and scarce abilities. The question is whether evaluation matches actual roles and results.

How should public funding of university education be viewed?

University education also uses taxes and other public funds. Society as a whole bears that cost, including people who did not attend university.
Education and research also benefit society through developing people and technology. Both fairness of burdens and outcomes returned to society need consideration.

Examine the link between actual work and compensation

The skills, responsibilities, physical burdens and scarcity of workers required on site: how these are reflected in wages is the issue in evaluation.
Considering education, skills and educational investment.